

of over $2\frac{1}{2}$ times the par value of the issue and nearly four times their market value at that price; Sidney Blumenthal and Company 7% Notes, due 1936, which sold at 70 in 1926 when the company had net current assets of twice the par value of the issue and nearly three times the total market value thereof (they were called at 103 in 1930); Belding, Heminway Company 6s, due 1936, which sold at 67 in 1930 when the company had net current assets of nearly three times the par value of the issue and over four times its market value. In the latter case drastic liquidation of inventories occurred in 1930 and 1931, proceeds from which were used to retire about 80% of the bond issue through purchases in the market. The balance of the issue was called for payment at 101 early in 1934.

In the typical case of this kind the chance of profit will exceed the chance of loss, and the probable amount of profit will exceed the probable amount of loss. It may well be that the risk involved in each individual case is still so considerable as to preclude us from applying the term "investment" to such a commitment. Nevertheless, we suggest that if the insurance principle of diversification of risk be followed by making a number of such commitments at the same time, the net result should be sufficiently dependable to warrant our calling the group purchase an *investment operation*. This was one of the possibilities envisaged in our broadened definition of investment as given in Chap. 4.

Limitations upon Importance of Current-Asset Position. It is clear that considerable weight attaches to the working-capital exhibit in selecting speculative bonds. This importance must not be exaggerated, however, to the point of assuming that, whenever a bond is fully covered by net current assets, its safety is thereby assured. The current assets shown in any balance sheet may be greatly reduced by subsequent operating losses; more important still, the stated values frequently prove entirely undependable in the event of insolvency.³

Of the many examples of this point which can be given, we shall mention R. Hoe and Company 7% Notes and Ajax Rubber Company First 8s. Although these obligations were covered by net working capital in 1929, they subsequently sold as low as 2 cents on the dollar. (See also our

³ The comparative reliability of the various components in the current-assets figure (cash assets, receivables, inventories) will receive detailed treatment in a discussion of balance-sheet analysis in Part VI.